Ministry of Housing, Communities & Local Government

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Council Leaders in Warwickshire
By email

29 October 2026

Dear Leaders,

I am writing to set out the outcome of the Government's review of the framework for the local government reorganisation programme and, separately, the Secretary of State's current provisional view on the proposals for local government reorganisation in Warwickshire.

We are grateful for all the work that went into developing proposals and preparing for implementation, and for the patience you have shown throughout this process. We recognise that the review period has not been easy, and do not take for granted your continued commitment to the long-term work needed to fix the foundations and put local government in the best possible position.

Outcome of the programme review

Following the announcement to Parliament on 7 September 2026, the Secretary of State and I have worked with officials to interrogate the key pillars and framework underpinning the Local Government Reorganisation programme, including asking whether the existing unweighted criteria ('the criteria') set in February 2025 and its objectives continue to support the policy priorities of the new Government.

We have concluded that the basis of the programme is robust and that the criteria against which proposals have been submitted were both correct on their own terms and continue to support the Government's policy agenda. Following this initial phase of the review, we can therefore confirm that the Government remains committed to delivering Local Government Reorganisation and that we will continue to move forward with the programme based on the criteria, which we hope gives confidence as the programme progresses.

Minded to decision for Warwickshire

Separately from the programme-level review, the Secretary of State and I, in my capacity as Minister for Local Government, Devolution and Regional Growth, are currently minded to implement the **two unitary proposal submitted by North Warwickshire Borough Council, Nuneaton and Bedworth Borough Council, Stratford-on-Avon District Council and Warwick District Council.**

The proposal that we are currently minded to make would establish the following new councils, **with elections in May 2028, ahead of vesting in April 2029:**

Proposed new council	**Existing local government areas forming proposed new council** (excluding county council)	**Current population**
North Warwickshire	North Warwickshire Borough Council, Nuneaton & Bedworth Borough Council Rugby Borough Council	323,000
South Warwickshire	Stratford-on-Avon District Council	295,000

	Warwick District Council	

Consideration of the proposals

This letter sets out our consideration of each proposal against the criteria and the reasons why the Secretary of State is currently minded to select the preferred proposal. Where relevant, we have also set out areas where we are seeking further information before reaching a final decision. Further detail of the minded to process is set out at the end of this letter.

We have considered the proposals received from councils in Warwickshire:

- The one unitary proposal from Warwickshire County Council
- The two unitary proposal from North Warwickshire Borough Council, Nuneaton and Bedworth Borough Council, Stratford-on-Avon District Council and Warwick District Council

We have assessed each proposal against the six criteria and considered their strengths and weaknesses before reaching this minded to decision.

Both proposals meet all six criteria.

Criterion 1: A proposal should seek to achieve for the whole of the area concerned the establishment of a single tier of local government

The two unitary proposal meets criterion 1.

Warwickshire has distinct area geographies, demographics and challenges. A more industrial northern area has higher levels of deprivation and distinct priorities around skills and employment, while the south has needs around connectivity and access to services. We consider that the two unitary structure would better reflect the distinct identities, geographies and priorities of the northern and southern areas. It would also allow housing, planning and economic development to be more closely aligned with local needs.

The evidence identifies materially different economic, demographic and housing conditions across the two areas. Our assessment is therefore, that the two unitary proposal is a better approach for sensible geographies to help increase housing supply. Aligning housing and planning responsibilities should allow policies to be better tailored to local housing need, growth and regeneration compared with a single countywide approach. We consider that the two unitary proposal would therefore bring housing and planning together at the right level, allowing each proposed council to respond to the distinct needs of its area. In the northern area, this could support housing-led regeneration and address higher levels of housing need and deprivation. In the southern area, it could provide a stronger focus on affordability pressures.

Effective coordination on transport, infrastructure, housing, employment and other cross-boundary issues will be essential to the successful transition. We will work with local areas to support them to deliver this well, in line with our wider sector support work, and the funding made available for reorganisation.

We recognise that establishing two councils would require existing countywide strategic functions and relationships to be divided. This is inevitable for any options that move away from the two-tier system, which allow for a single upper-tier county council covering a whole county to be split in any future model of two or more unitary councils on the same footprint. But this must always be balanced against seeking to ensure that the new unitary councils are deemed to be right for the local context and the wider benefits of councils which are closer to the communities they serve.

Turning to the other proposal, the one unitary proposal would establish a single Warwickshire council of approximately 618,000 people, bringing housing, planning, transport, infrastructure and economic development responsibilities within a single authority. While one unitary could provide a consistent

approach to strategic planning across Warwickshire, we consider that the two unitary proposal provides a more effective approach to addressing the different housing needs of the northern and southern areas. We also consider that one unitary authority risks being less able to respond to different economic, demographic, housing and service needs across the two areas.

Criterion 2: Unitary local government must be the right size to achieve efficiencies, improve capacity and withstand financial shocks

The two unitary proposal meets criterion 2.

The two unitary proposal would establish councils of approximately 323,000 people in the northern area and 295,000 in the southern area. We consider that the distinct geographies, identities and service needs of the two areas justify councils below the population guideline of 500,000. The guiding principle of 500,000 is not a fixed threshold, and I made clear that councils across the programme could develop proposals for authorities with populations either above or below that figure in statements to Parliament and in discussions with the sector over many months. In this case, this is justified by the different characteristics and needs of the two areas and by the benefits of councils with a clearer local focus. It is also relevant that many single-tier councils, with a median population of around 275,000 have operated effectively across the same key services for decades. Critical to success will be strong leadership, sufficient capacity and capability, and clear prioritisation of resource to support the transition and ensure high performance of these services going forward.

As set out above, the case for two councils rests on their ability to respond to the distinct economic, demographic, housing and service needs of the north and south, rather than on savings alone. Two councils would allow more locally focused housing and planning and public services tailored to each area, including prevention and service transformation.

We have considered projected efficiencies separately from longer-term financial sustainability. The two unitary proposal acknowledges lower savings from fewer economies of scale and the costs of disaggregation. We also have lower confidence in the scale of its savings estimates, but our sustainability assessment found that both options could improve on current arrangements.

We recognise that the two unitary proposal sets out that the northern council would face higher levels of deprivation, which is likely to put pressure on its finances. We consider that this can be managed in the long term within the proposed two council structure because of our sustainability assessment. It is important to say that while reorganisation can contribute to local government sustainability, it is only part of the answer alongside the cross government and sector working on public sector reform and high-cost, demand-led services in adult social care, children's services, SEND and temporary accommodation for example. Much of that work is underway and supported by new investment alongside a focus on early intervention and prevention.

Turning to the other proposal, which also meets criterion 2, we have greater confidence in the savings assumptions in the one unitary proposal, which we also judge to have more scale and financial capacity. It would avoid the costs and risks of dividing countywide services, though all councils undertaking reorganisation would require corporate and service changes, for instance in bringing together those elements currently held by district councils in the area.

Criterion 3: Unitary structures must prioritise the delivery of high quality and sustainable public services to citizens

The two unitary proposal meets criterion 3.

The two unitary proposal would allow services to respond more closely to the different needs of the northern and southern areas of the county. Bringing district and county functions together in each area could support prevention, earlier intervention and service transformation. As set out in the two unitary proposal, the priorities for the north, include health inequalities, deprivation and healthy life expectancy. In the south, they include healthy ageing, rural access and supporting independence.

Our view is that the two unitary proposal would provide the better approach to tailor high-quality and sustainable public services in line with those different priorities and needs.

We recognise that this proposal requires disaggregation of countywide services and that in any disaggregation there will be concerns about safeguarding, adult social care, public health, children's services, SEND, workforce and leadership capacity, commissioning, and established partnership arrangements. The councils would also face different levels of demand and resources. We are, however, confident that these risks are understood and can be managed.

The two unitary proposal sets out how it would address this with a tailored approach to each service. Functions that benefit from a closer local focus would be divided between the councils, but the proposal also provides for joint safeguarding and specialist services, regional commissioning and interim arrangements in which one council hosts shared services.

The proposal also cites existing shared services in Warwickshire and examples from previous reorganisations as evidence that separate councils can continue to work together where this is beneficial. It sets out a phased transition focused on continuity of statutory services, safeguarding, ICT and workforce capacity. The proposal sets out a plan to reduce short-term risks while longer-term arrangements are put in place, without losing the benefits of more locally focused services during the transition.

At a minimum, councils must plan for and reduce the risks to service continuity, leadership capacity, safeguarding and commissioning. The proposal acknowledges that a safe transition will require robust planning, clear allocation of resources and liabilities, and arrangements to maintain children's and adult services. This will include plans to manage the workforce and provider market, with shared arrangements where that works most effectively for specific services.

Our department, working in partnership with other government departments, has also developed a clear support offer comprising of several elements. Funding will enable each area undertaking disaggregation to bring in additional capacity to support a safe transition process. National work to support the leadership pipeline for key roles such and children's and adults service directors will help ensure that in the medium term there is adequate capacity and quality to deliver effective and safe services for those that need them.

Taken together, the plans set out in the proposal, the funding, and the support offer give us confidence that the identified risks to public services during transition and the division of services can be managed if implementation is handled well. This is also the first time government has provided funding support in this way. The experience in Cumbria provides us with further reassurance: well-planned and supported disaggregation can strengthen local accountability and improve services, and children's services continued to improve following reorganisation. We consider that close working between government and local councils throughout transition can also help manage the concerns.

Turning to the one unitary proposal, which also meets criterion 3, we recognise that keeping countywide services together would limit disruption. It would preserve existing staff, leadership, contracts and partnerships across care and education. On balance, we judge that two councils would better support delivery of public services tailored to local needs. Delivering those benefits will depend on managing the service risks throughout the transition but with the transition planning and support set out above, we are confident that these risks can be managed and the overall benefits outweigh the continuity and scale offered by one council.

Standing still is not an option for any council, let alone those undertaking reorganisation. There is no proposal that does not involve corporate and service delivery changes and in fact the best councils are already working on greater collaboration in areas and developing more effective neighbourhood footprints.

Criterion 4: Proposals should show how councils in the area have sought to work together in coming to a view that meets local needs and is informed by local views

The two unitary proposal meets criterion 4.

The two unitary proposal was submitted jointly by four district and borough councils. It demonstrates collaboration across the north and south and a shared view that two councils would better reflect their different identities and needs. Councils shared information to develop a common understanding of local needs and pressures, building on established collaboration.

The proposal was informed by a structured programme of engagement, including an open questionnaire completed by around 2000 people. The statutory consultation also received around 2000 responses, including responses from named consultees. Most residents and organisations that were not named consultees preferred the two unitary proposal, as did the majority of Warwickshire MPs.

We have treated local support as relevant evidence of identity and need, but support was not uniform. We have considered the concerns raised by Rugby about its inclusion in the northern council. The coordination and neighbourhood arrangements set out elsewhere in this letter will be important in addressing local concerns about place and identity, but we appreciate that there remain differences of view.

Turning to the one unitary proposal, which also meets criterion 4, it was submitted by Warwickshire County Council and supported by Rugby Borough Council. It reflects a countywide approach focused on strategic coherence, financial strength and service continuity. Some named consultees preferred the one unitary proposal, including the Police and Crime Commissioner and the Integrated Care Board. We have weighed that support alongside the wider consultation evidence and the case for two councils.

Criterion 5: New unitary structures must support devolution arrangements

The two unitary proposal meets criterion 5.

The two unitary proposal would provide separate representation for North and South Warwickshire, allowing each to reflect differing economic relationships and strategic priorities, including North Warwickshire's links beyond the county, while retaining greater flexibility as the future devolution geography remains unresolved.

We have concluded that the two unitary proposal would preserve greater flexibility while future devolution arrangements are developed. We have treated that flexibility as more important because it avoids settling the local government structure in a way that could narrow future devolution choices before the devolution geography is determined.

Turning to the other proposal, which also meets criterion 5, the one unitary proposal would provide a single Warwickshire voice, simplifying representation and coordination on transport, housing, infrastructure and economic development. However, the limited flexibility could be a drawback of this model when the devolution path is not yet clear.

Criterion 6: New unitary structures should enable stronger community engagement and deliver genuine opportunity for neighbourhood empowerment

The two unitary proposal meets criterion 6.

The two unitary proposal would create authorities closer to their communities and allow approaches tailored to the north and south, potentially providing a stronger structural proximity and better scope for local approaches. In our view, the consideration given to the interaction between key public services and the local community makes the two unitary option particularly strong. It also has stronger support from councils and local residents.

Implemented effectively, this option will support neighbourhood empowerment. We have placed weight on the closer connection between each proposed council and the distinct priorities of its area. The north and south councils would still need strong neighbourhood arrangements, particularly to ensure that rural communities and places at the edges of the proposed geographies retain meaningful influence. We consider that having two councils provides a sound basis for that work without treating structural proximity as a substitute for effective local engagement.

Turning to the one unitary proposal, which also meets criterion 6, it would operate at county scale which would make effective neighbourhood governance, strong relationships with town and parish councils, and meaningful local influence important. Its organisational capacity could support well-resourced local arrangements, although their effectiveness would depend on the functions, funding and decision-making influence provided.

It is important to note that the English Devolution and Community Empowerment Act 2026 requires all councils in England to make appropriate arrangements for effective neighbourhood governance in neighbourhood areas, with the Secretary of State able to make further provisions on those arrangements through regulations. Local government reorganisation provides an opportunity to embed this approach from the outset. Effective neighbourhood governance can help ensure that, within larger unitary structures, communities retain a strong local voice, are able to influence decisions affecting their area, and see their distinct identities and priorities reflected in how the new councils operate. We will publish a Neighbourhood Governance Framework later this year, which will provide new councils with some high-level principles to consider.

Conclusion

For the reasons set out above and considering the proposals' performance against the criteria in the round, the Secretary of State is currently minded to proceed with the **two unitary proposal submitted by North Warwickshire Borough Council, Nuneaton and Bedworth Borough Council, Stratford-on-Avon District Council and Warwick District Council.** The Secretary of State currently regards several factors as weighing particularly strongly. The ability of two councils to respond to the different economic, demographic, housing and service needs of the north and south (criterion 1); the ability of two councils to better tailor delivery of public services to respond local needs, with increased opportunities for place-based prevention and service transformation (criterion 3)**;** and the flexibility the structure would preserve for future devolution (criterion 5).

We have weighed those advantages against the stronger short-term savings case for one unitary, the benefits of countywide strategic planning and service continuity, the lower confidence we have in the two unitary savings assumptions and the challenges of disaggregation – but no reorganisation proposals are without significant corporate and service change and with that will provide a challenge to whatever proposal is agreed to.

We have concluded that those elements do not outweigh the two unitary proposal's stronger response to the different circumstances of the north and south, its potential for locally tailored housing and planning, its approach to prevention and service transformation, and the flexibility it preserves for devolution. Our minded to decision reflects the greater weight we placed on those enduring place-based advantages, while recognising that the short-term risks will require active mitigation during implementation.

Status of this provisional view

This letter does not constitute a final decision to implement this or any other proposal.

The conclusions set out above represent the Secretary of State's current provisional view, reached following consideration of the relevant material. Before reaching a final decision, the Secretary of State will consider all representations received in response to this letter together with any other relevant material.

The Secretary of State remains open to reaching a different conclusion following that consideration, including modifying the provisionally preferred proposal further, deciding to implement a different proposal, or deciding not to implement any proposal.

Invitation for representations

Relevant councils and other interested parties will be invited to make representations on the provisional conclusions and reasoning set out in this letter. This representation period will be for a minimum of three weeks. We will confirm the exact timings shortly.

Representations should, where possible, address the provisional conclusions and any specific requests for information identified in this letter. We are grateful for the time already given to prepare and submit proposals, views and supporting evidence. There is no need to reproduce material submitted previously or repeat points that have already been made: that material will remain available to the Secretary of State and I when reaching the final decision.

The previous decision

The Secretary of State has today decided to withdraw the decision announced on 16 July 2026 concerning local government reorganisation in Warwickshire.

The Secretary of State and I are considering the proposals afresh and will reach a new final decision after considering the representations invited by this letter and any other relevant matters.

Statutory process

The Local Government and Public Involvement in Health Act 2007 provides the statutory framework for local government structural change. The statutory process permits the Secretary of State to implement a proposal with or without modification following the required consultation.

If, following the further consideration described in this letter, the Secretary of State decides to implement a proposal, the structural changes would need to be provided for in a structural changes order under section 7 of the 2007 Act, subject to the applicable Parliamentary procedure.

This letter does not itself establish any new council, alter any existing local government boundary or otherwise implement structural change.

Capacity funding and other matters

I recognise that councils have already incurred costs associated with preparing for local government reorganisation and have committed significant time, resource and leadership to this work.

I am pleased to confirm that Warwickshire will be paid 50% of the £900,000 per new unitary transition support funding. This is equal to £900,000. Grants will be paid in November to the previously confirmed recipient authority.

When final decisions are made, we will pay any remaining balance of the £900,000 transition support per each new unitary, taking account of funding already paid to its area, as well as £150,000 of supplementary funding per new unitary for Leadership Capacity and Continuity in Children’s Services, Adult Social Care and Public Health.

We are setting out further detail in the Written Ministerial Statement on city status and ceremonial matters, and the transition from the committee system.

I am copying this letter to your Chief Executives, MPs, and the Police and Crime Commissioner for Warwickshire.

Yours sincerely,



JIM McMAHON OBE MP

Minister for Local Government, Devolution and Regional Growth